THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

MFIN7053 Fundamentals of Banking Institutions: Accounting and Disclosure Rules

GENERAL INFORMATION

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Pre-requisites: N/A
Co-requisites: N/A
Mutually exclusive: MACC7023

Course Website: Moodle
Other important details:

COURSE DESCRIPTION

The purpose of the course is to examine questions of the main business areas of a modern full-service bank and how does it make profit in each area, the main risks that they face and how do they manage those risks and how can the public assess the risks a bank faces and measure its performance and the regulation governing banking. This course focuses on (1) the financial statement analysis of banks and bank-like financial institutions; and (2) the accounting and disclosure rules for financial instruments they hold (interest rate risk disclosures, loan loss disclosures, fair value accounting for financial instruments, securitization accounting, derivatives and hedge accounting, and market risk disclosures). Analyzing these two aspects of a modern bank reveals much about the strategies followed by the bank given the various regulations under which it operates.

The financial statements of financial institutions are increasingly based on fair value accounting and their financial reports include increasingly extensive risk and estimation sensitivity disclosures. Both fair value accounting and risk and estimation sensitivity disclosures are necessary ingredients for financial reports to convey financial institutions' risk and performance in today's world of complex, structured, value and risk-partitioning financial instruments and transactions. While financial institutions often report imperfect (or worse) fair value measurements and risk and estimation sensitivity disclosures, careful joint analysis of the information they do provide invariably yields important clues about their risks and performance.

COURSE OBJECTIVES

The main goal of this course is to provide students with an in-depth understanding bank's financial report. By the end of the course, the students are expected to gain an improved ability to

1. Analyze and assess the balance sheet and income statement composition to understand the bank's business model and the overall profitability achieved by banks
2. Analyze how banks manage regulatory capital and its reporting
3. Analyze how banks manage interest rate risk and generate reported net interest income
4. Analyze how banks manage credit risk and report provision for loan losses

5. Analyze how banks manage fair value instruments and their reporting
6. Analyze how modern banks manage security lending and repurchase activities and their reporting and off-balance-sheet activities and their reporting
7. Analyze how banks engage in financial derivatives activities and their reporting

Programme Learning Outcomes

PLO1. Acquisition of techniques and advanced knowledge in interdisciplinary fields between finance and other appropriate disciplines including but not limited to engineering, law and mathematics

PLO2. Application and integration of knowledge and skills in finance and relevant interdisciplinary fields to identify and tackle practical problems, and design innovative products and systems with international standards and global vision

PLO3. Inculcating leadership, professional ethics and competence in finance and relevant interdisciplinary fields

PLO4. Mastering communication skills

COURSE LEARNING OUTCOMES

Course Learning Outcomes	**Aligned Programme Learning Outcomes**
CLO1 Analyze modern large financial institutions' financial statements including locating, interpreting information and data.	CLO1 -> PLO1, PLO2
CLO2 Use the located financial statement information and data to calculate relevant metrics and critically assess various risk exposure and performance by the modern large financial institutions.	CLO2 -> PLO1, PLO2
CLO3 Evaluate the bank management's disclosure practice and potential for mis-reporting (including ethical dimensions)	CO3 -> PLO2, PLO3
CLO4 Improve written and oral communication skills	CO4 -> PLO3, PLO4

COURSE TEACHING AND LEARNING ACTIVITIES

Course Teaching and Learning Activities	**Expected contact hour**	**Study Load (% of study)**
T&L1. Lecture with interactive presentation	30 hours	25%
T&L2. Group project	50 hours	42%
T&L3. Self-study and individual assignments	40 hours	33 %
…		
Total	120	100%

Assessment Methods	**Brief Description (Optional)**	**Weight**	**Aligned Course Learning Outcomes**
Participation		10	CLO1, CLO2, CLO3,
Individual Homework Assignments		40	CLO1, CLO2, CLO3, CLO4
Group Project Presentation and Reports		50	CLO1, CLO2, CLO3, CLO4

	Total	100%	

STANDARDS FOR ASSESSMENT

Course Grade Descriptors

A+, A, A-	Candidate has consistently demonstrated a thorough grasp of the subject as evidenced by original or exceptionally astute analysis and synthesis.
B+, B, B-	Candidate frequently demonstrated a substantial grasp of the subject.
C+, C, C-	Some of the responses are well organized, clear but with insufficient elaboration.
D+, D	Solutions to questions and problems containing unstructured but relevant observations, and marginally interesting.
F	Little evidence of basic familiarity with the subject.

Assessment Rubrics for Each Assessment (Please provide us the details in a separate file if the space here is not enough)

Class participation (10%)

Students are expected to attend and participate actively in lectures and tutorials. Each student will be evaluated on the quantity and quality of their participation by the instructor and tutor. You are expected to participate in and contribute to our class discussions. Also a good citizenship in your teamwork is part of your class participation.

Individual Homework Assignments (40%)
Four Individual Homework Assignments (IHA) will be given and collected. The homework assignments help individual understand lecture materials better and practice the methods and technologies learned in class. Homework assignments need to be hand-written.

Group-based Project (50%) A major part of the course evaluation is a group-based case studies on real-life companies. The case will focus on the first four topics covered in class: overall financial profitability analysis, bank regulatory capital, interest rate risk and credit risk. The case report is graded on rigor, creativity, demonstration of depth of knowledge, and clarity in communication. More detail instructions about the group project and each topic will be distributed in class shortly.

Each group is required to turn in a written briefing book on a financial institution (you pick). The report should be less than 10 pages, with 12pt font and 1.5 line space. Each written briefing should be self-contained and include

- a one-page executive summary
- a short description about the bank
- a section on main analysis (four individual topics)

The main analysis contains four individual topics that are covered in class. Before the final project report, there are two progress report that help each group on track. The four parts of analyses are then combined together into the main analysis section of the final report. Beyond the 10-page report, you may also include an appendix for supplementary information.

The case report is graded on rigor, creativity, demonstration of depth of knowledge, and clarity in communication. More detail instructions about the group project and each topic will be distributed in class shortly.

REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS (e.g. journals, textbooks, website addresses etc.)

Recommended Textbook: Stephen Ryan, *Financial Instruments and Institutions: Accounting and Disclosure Rules*, Second Edition, Hoboken, NJ: John Wiley and Sons, 2007,
ISBN: 978-0-470-04037-9.

Recommended Supplementary Textbook:
Saunders, Anthony, and Marcia Cornett: *Financial Institutions Management: A Risk Management Approach*, New York, NY: McGraw-Hill Irwin, 2010, ISBN: 978-0073530758.
Hull, John C. *Risk Management and Financial Institutions*, Upper Saddle River, NJ: Pearson Prentice Hall, 2007, ISBN: 0-13-239790-0.

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

- conducting mid-term survey in additional to SETL around the end of the semester
- Online response via Moodle site

✓ Others: ___SETL_____ (please specify)

COURSE POLICY (e.g. plagiarism, academic honesty, attendance, etc.)

- The university policy on academic integrity is strictly followed. Any potential process for an integrity violation will involve notifying the student, the program head, and the other necessary university units. Plagiarism and copying of copyright materials are serious offences and may lead to disciplinary actions. Students should read the chapters on "Plagiarism" and "Copyright" in the Undergraduate/Postgraduate Handbook for details. Students are strongly advised to read the booklet entitled "What is Plagiarism?" which was distributed upon students' admission into the University, a copy of which can be found at www.hku.hk/plagiarism. A booklet entitled "Plagiarism and How to Avoid it" is also available from the Main Library.
- To avoid intellectual property and copyright infringement, and/or violation of the Personal Data (Privacy) Ordinance, DO NOT upload HKU teaching-related materials including but not limited to course materials, marking schemes, examination papers, etc. to websites. If you have done so in the past, you are asked to take steps to take down relevant materials immediately

ADDITIONAL COURSE INFORMATION (e.g. e-learning platforms & materials, penalty for late assignments, etc.)

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

Week	Dates	Topics	Assignment	Chapters
1	Feb. 2	Organizational Meeting Topic-1 Course Introduction and Overview		Ch 1-2
	Feb. 5	Topic-2 Banks' Financial Statements and Overall Profitability	**IHA 1**	Ch 3/10
2	Feb. 9	Topic-3 Bank Regulation and Capital Management		Ch 2
	Feb. 12	Topic-4 Interest Rate Risk and Net Interest Income	**IHA 2**	Ch 4
3	Feb. 23	Topic-5 Credit Risk and Expected Loss Model		Ch 5
	Feb.26	Topic-6 Fair Value Measurements	**IHA 3**	Ch 6
4	Mar. 2	Topic-7 Investment in Securities: Classifications *Case: SVB Bank (ACRC case)*		Ch 6
	Mar 5	Topic-8 Securitizations and Disclosure	**IHA4**	Ch 8/9
5	Mar 9	Topic-9 Derivatives *Guest speaker, TBD*		Ch 8/9
	Mar 16	**Final Project Report Due**		